

ROYALTY PHARMA PLC -REDH (7774B) RPRX

June 10, 2020 - 8:00pm EST

by

[perspicar744](#)

2020 2021

Price:	28.00	EPS	2.00	0
Shares Out. (in M):	595	P/E	14	0
Market Cap (in \$M):	16,668	P/FCF	10	0
Net Debt (in \$M):	5,900	EBIT	2,825	0
TEV (in \$M):	20,000	TEV/EBIT	7	0

Description

Pablo Legorreta's Royalty Pharma, a person and business that I have admired for many years, is going public. He's built Royalty Pharma into a cf powerhouse, buying royalty interests in late stage or approved/marketed pharmaceuticals or biotech products, and holding them for the long term. He's positioned the company as the leading R&D partner to the Pharma industry, having cumulatively deployed over \$18B of cash to acquire royalties, representing over 50% of all biopharma royalty transactions.

Now he's going to IPO. He finances the biz with bank debt of \$5.9B paying L+150, takes in monthly income from the royalties, and pays a quarterly dividend (the last one annualized amounts to a ~3.4% dividend yield) on a \$16.6B all-in post offering mkt cap which will be based on 595.3m shares out. Cash post offering will be \$2.6B, for a \$20B EV.

Royalty interests include some blockbuster drugs such as Januvia (diabetes), Remicade (arthritis), Humira (arthritis), Tysabri (MS), Neupogen/Neulasta (cancer), and dozens of others across a broad range of therapeutic classes. All-in there are royalties on more than 45 biopharmaceuticals, with 22 of those each generating end market sales of over \$1B in 2019. It's an extraordinary track record of picking blockbuster drugs.

They also have additional potential returns from equity in pharma companies they receive when purchasing royalties.

It's high quality and stable cash flows at royalty gross margins, with significant market share and cost of capital advantages, plus the quarterly dividends. And, there is growth from a variety of drivers, including harnessing the marketing/sales efforts of their pharma partners, the generally increasing use of pharma on an aging baby boomer population, and greater numbers of royalties per new drug being aided by research collaboration and complexity. In addition, technological advances are widening their market with new treatment modalities (cell therapy, antisense, RNA, gene therapy, etc.). Global prescription pharma sales are expected to grow at a 7% CAGR to \$1.2 trillion in 2024, despite nearly \$100 billion in cumulative sales lost to patent expiry.

While it may seem crazy for biopharma development companies to give up future revenue to royalty interests, it is actually a highly effective way to fund the high cost of development because it allows the company to retain full control over pipeline assets. This is important relative to the highly dilutive funding alternatives available to pre-approved sits, and the many strings attached from bringing in a larger pharma co to help with costs.

This unique company should trade at least in line with consumer product or non-commodity royalty businesses at a multiple of 20 something x cf. And, I can envision a large supply of new buyers for this royalty category emerging from the forlorn holders of energy centric royalty trusts, upcoming index inclusions, and those who appreciate a low capex, cash generative business model.

Price range is \$25-28 per share for a 70m share offering (80.5m with the greenshoe), for a max offering size of \$2.254B with ~\$550m from selling shareholders and \$1.7B to the company. Post offering shares outstanding will be 350.83m class A, plus 244.5m class B, for a market cap of \$16.6B at the top of the range. In Feb 2020, PE firm General Atlantic acquired a minority stake with terms undisclosed.

JPM is left lead, with a broad selection of 12 of the usual suspects as joint leads and co-managers, so street coverage will be wide and deep. It is set to price next Monday, on June 15th (moved up from June 16th). For equity cap valuations in this writeup, I'm using the top of range \$28, but I'll guess it likely goes at \$27-ish.

Management has reserved 5% of the offered shares, approximately 4m shares, for their own purchase. These shares will be subject to 180 day lockup, so this will reduce the amount of freely traded shares in the IPO (presumably to about ~76.4m).

There are also 244.5m class B shares, subject to lockup and then exchangeable one-for-one into Class A shares, which are going to the "Continuing Investor Partnerships"... [and if lofty in six months I may look into an unlock short trade... But in this case I'd be boxed, since I like the long term prospects of this business]. The B holders get 18% of the pre-IPO business, which will shrink over time as new acquisitions are made in which they will not participate, as expiries occur, and they are excluded from the quarterly dividends.

On Friday June 5th, they paid a quarterly dividend of \$140.8m. Annualized this would be \$563m or a 3.4% div yld to the top of the price range. Knock 18% off of this, and recalc the balance for A shares only and you'll get 4.7%. The filing noted an initial 15c per share quarterly dividend estimate, which would be \$0.60 or 2.1% div yld, but I think that's a starting point. Either way, it's a low payout ratio, starting at 25% that can be increased over time.

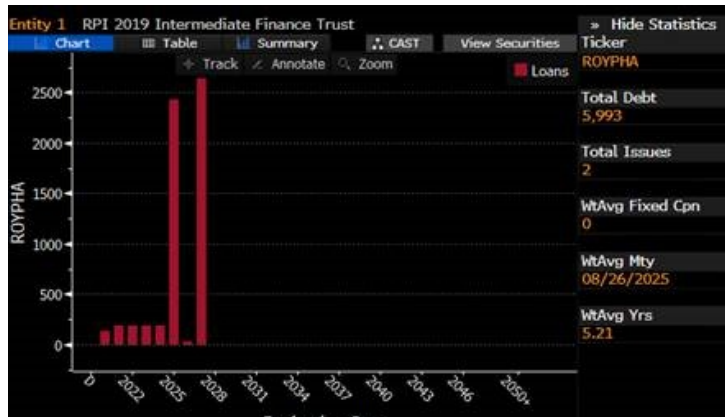
Last year they earned \$1.176B of net income which is ~\$1.97 per share on the fully diluted A+B's. At a 25x multiple that's \$49 per share. Yes, there were equity/warrant gains in there which will be variable, and they have occasional milestone payments, but given the div yield capacity, the broad group of growing royalties, and a quality management team, I'm seeing value in the offering. And, the A/B structure will give the street some extra firepower since taking 18% off the \$1.176B but using the 350.83m A shares they would actually report EPS of \$2.74 per A share. That's 9.7x the top of range (even if a bit of an illusion).

I've had the pleasure of meeting the CEO, Pablo Legorreta, a few times over the years. He was a Lazard banker in the Paris office before starting the company in 1996, and in addition to all indications of him being a fine human being, he has an interesting bio. He's been a YPO member, sits on the boards of Rockefeller & Brown Universities, the Hospital for Special Surgery, the Pasteur Foundation, the Open Medical Institute, and the Park Avenue Armory. Plus, he founded a non-profit, Alianza Medica para al Salud, which provides educational scholarships to Mexican and Latin American doctors and healthcare providers to study abroad. He has a

degree in industrial engineering from Universidad Iberoamericana in Mexico City. And, he recently became a founding member of Mount Sinai's new Institute for Health Equity Research, which is newly created as a response to health inequities made apparent by COVID-19.

Here's some snippets of note:

The debt distribution is nicely spaced for the next five years, and, in time, will likely be distributed out further. Their low cost of capital is a strong competitive advantage, and their plentiful access to capital combined with flexible deal structuring allows them to provide partners with a high degree of transaction certainty. Debt coverage is healthy at over 7.5x adj ebitda/net interest. And, their debt is investment grade rated with stable outlook... and only to get better post offering which will put them in a leading position for new deals. This shows when the debt is due:



Revenues look quite stable, but make note of the provisioning changes which are driven by adoption of new accounting rules for credit losses on financial instruments amounting to a \$192.7m gain at Jan 1 that is reflected in Non-current financial royalty assets, and flows through to the Provision for changes in expected cash flows:

(\$ in thousands)	Pro Forma (10/18) (unaudited)	2019	2019	2018	2017	2016	2015	2020	2019
Consolidated Results of Operations Data:									
Income and other revenues:									
Income from financial royalty assets	\$ 1,648,837	\$ 1,648,837	\$ 1,524,816	\$ 1,539,417	\$ 1,502,088	\$ 1,484,041	\$ 1,462,844	\$ 382,216	
Revenue from intangible royalty assets(1)	145,775	145,775	134,118	38,090	373,591	166,668	34,983	43,246	
Other royalty income	19,642	19,642	135,960	20,423	1,731	1,711	3,052	9,421	
Total income and other revenues	1,814,254	1,814,254	1,794,894	1,597,930	1,877,410	1,652,420	1,500,879	434,883	
Operating expenses:									
Research and development funding expense	\$3,036	\$3,036	392,609	117,866	91,021	98,381	7,639	22,991	
Provision for changes in expected cash flows from financial royalty assets(2)(19)	(1,019,321)	(1,019,321)	(57,334)	400,665	925,800	570,183	88,012	(50,033)	
Amortization of intangible assets	23,924	23,924	33,267	33,267	68,203	68,160	5,733	6,599	
General and administrative expenses(3)	163,519	103,439	61,906	106,440	69,512	121,418	38,065	24,426	
Total operating expenses	(748,842)	(808,922)	430,448	658,238	1,554,536	858,142	139,449	3,983	
Operating income	2,563,096	2,623,176	1,364,446	939,692	722,874	794,278	361,430	430,900	
Other expenses (income):									
Equity in loss (earnings) of non-consolidated affiliates(4)	(50,971)	32,517	7,023	(163,779)	11,347	17,001	9,074	5,529	
Interest expense	250,864	268,573	279,956	247,339	238,915	224,424	53,584	67,266	
Realized gain on available for sale debt securities	—	—	(419,481)	(412,152)	(261,111)	(213,604)	—	—	
Other (income) expense, net(5)(17)	(211,947)	(139,333)	(20,907)	(74,896)	(28,172)	7,749	189,676	(37,989)	
Total other (income) expenses, net	(12,054)	161,757	(153,409)	(403,488)	(39,021)	35,570	252,334	34,806	
Consolidated net income before tax	2,575,150	2,461,419	1,517,855	1,343,180	761,895	758,708	109,096	396,094	
Income tax benefit (expense)	—	—	—	—	—	—	—	—	
Consolidated net income	2,575,150	2,461,419	1,517,855	1,343,180	761,895	758,708	109,096	396,094	
Less: Net income attributable to non-controlling interest	(1,399,084)	(112,884)	(140,126)	(133,155)	(195,988)	(177,282)	(37,856)	(28,650)	
Net income attributable to controlling interest	\$ 1,176,066	\$ 2,348,535	\$ 1,377,729	\$ 1,210,025	\$ 565,907	\$ 581,426	\$ 71,240	\$ 367,444	

With breakout of royalties, leading to over \$2B of Adj EBITDA in each of the last four years (2016-2019, ex the proforma accounting). And, with low div payout ratio, indicating much higher dividend capacity... I think their plan is larger future distributions:

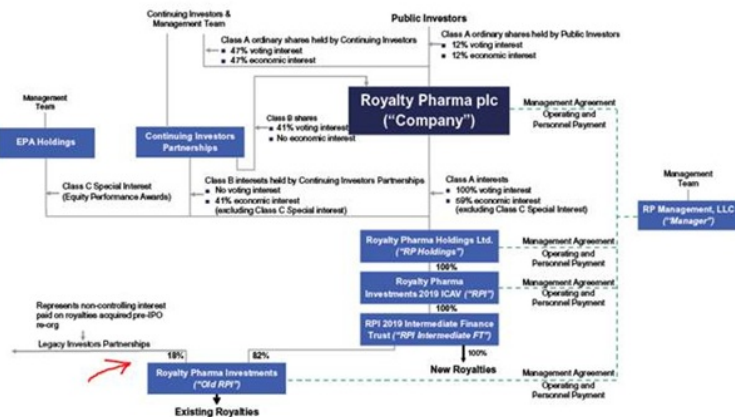
(\$ in thousands, except share-related amounts)	Pro Forma (10/18) (unaudited)	2019	2019	2018	2017	2016	2015	2020	2019
Other Financial Measures:									
Royalty Receipts - Growth Products									
Cystic fibrosis franchise(8)	\$ 424,741	\$ 424,741	\$ 224,214	\$ 37,340	\$ 12,163	\$ —	\$ 99,403	\$ 106,939	
Tyvalin	332,816	332,816	338,697	263,790	—	—	83,807	82,435	
Imbruvica	270,558	270,558	209,171	149,176	103,247	54,464	77,709	61,102	
MTV franchise	262,939	262,939	224,321	185,515	185,014	199,421	83,887	76,383	
Jamvira, Januvia, Other DPP-IVs(1)	143,298	143,298	106,689	103,250	313,394	162,962	34,788	32,738	
Oxandrolone	120,096	120,096	105,958	86,977	64,019	—	34,777	27,568	
Promacta	86,266	86,266	—	—	—	—	35,748	—	
Tarcevic(18)	—	—	—	—	—	—	—	—	
Crysvin(18)	—	—	—	—	—	—	—	—	
Other Growth Products (9)	262,767	210,166	192,241	133,554	127,919	118,372	72,133	56,640	
Total Royalty Receipts - Growth Products	\$ 1,889,481	\$ 1,850,880	\$ 1,401,291	\$ 959,802	\$ 805,756	\$ 535,219	\$ 522,232	\$ 444,005	
Royalty Receipts - Mature Products									
Tecfidera (10)	150,000	150,000	750,000	600,000	600,000	425,000	—	150,000	
Lyrica	128,246	128,246	126,916	124,126	119,132	142,122	6,087	29,605	
Letamovet	112,656	112,656	120,078	123,178	111,361	101,183	14,562	38,459	
Remicade	6,068	6,068	121,055	138,488	147,883	162,705	—	6,068	
Humira	—	—	499,055	455,399	400,990	351,615	—	—	
Other Mature Products (11)	21,047	21,047	45,450	68,267	276,979	400,016	743	10,164	
Total Royalty Receipts - Mature Products	\$ 418,017	\$ 418,017	\$ 1,672,554	\$ 1,509,458	\$ 1,656,345	\$ 1,582,641	\$ 21,392	\$ 234,296	
Distributions to non-controlling interest	(525,804)	(154,084)	(268,693)	(278,727)	(321,785)	(310,299)	(161,387)	(41,460)	
Adjusted Cash Receipts (non-GAAP)(13)	\$ 1,775,694	\$ 2,114,813	\$ 2,805,152	\$ 2,190,533	\$ 2,140,306	\$ 1,807,561	\$ 382,237	\$ 636,841	
Payments for operating and professional costs(12)	(145,176)	(88,524)	(72,660)	(101,180)	(64,923)	(70,834)	(25,838)	(17,705)	
Adjusted EBITDA (non-GAAP)(13)	\$ 1,630,518	\$ 2,026,289	\$ 2,732,492	\$ 2,089,353	\$ 2,075,383	\$ 1,736,727	\$ 356,419	\$ 619,136	
Development-stage funding payments - ongoing	(83,036)	(83,036)	(108,163)	(118,366)	(90,521)	(98,381)	(7,639)	(22,991)	
Interest paid, net	(214,420)	(214,420)	(241,216)	(228,411)	(226,378)	(215,040)	(48,867)	(24,349)	
Swap collateral (posted) or received, net	(45,270)	(45,270)	2,957	(2,950)	2,316	(2,316)	45,252	(3,60)	
Swap termination payments	(35,448)	—	—	—	—	—	(35,448)	—	
Investment in non-consolidated affiliates	(27,042)	(27,042)	(24,173)	(2,000)	(8,722)	(21,407)	(13,142)	(8,842)	
Contributions from non-controlling interest - E&D	19,345	—	—	—	—	—	1,260	—	
Adjusted Cash Flow (non-GAAP)(13)	\$ 1,289,820	\$ 1,616,113	\$ 2,359,897	\$ 1,737,886	\$ 1,752,078	\$ 1,399,119	\$ 297,835	\$ 592,594	
Fully diluted shares outstanding	595,382,980	—	—	—	—	—	—	—	

Royalty Expiry and Renewal: One thorny part, as indicated in **red** above, is upcoming expiry of their royalties for their HIV (2021) and Januvia (2022) segments. The rest is long dated, averaging 15 years+. Just below the red marks are Xtandi (2027-2028) and Promacta (2025-2027). The rest last well into the 2030s or are perpetual, and they've stated, "Management estimates that the most material patents provide protection through 2037." So they will have a ~\$400m revenue headwind in stages for the next two years, and an additional ~\$200m in 2025-2028. Not great, but nowhere near fatal and it's an ongoing part of this business/industry. Plus there are offsets from the fast growing drugs, and (continuing down the list) Tazverik & Crysvita which were acquired in Q4 2019, don't generate cash receipts until 2020. And, there will likely be additional offsets from new approvals (Approvals in 2020: Tazverik in Jan, Nurtec in Feb, Trodelvy in April) and or new royalty acquisitions, which they are in an excellent financial position to find.

FWIW, a quick web search on Tazverik shows analysts at Clarivate estimating \$103m of initial 2020 sales and \$617m of sales by 2024. For Crysvita, they paid \$320m for a 10% royalty on European sales, and it's owner [estimates](#) ~\$125-140m in sales this year excluding EU royalty revenue, up from \$86-88m last year.

When it comes to offsetting new with old, I am relying on management to continue handling this with aplomb, and I don't think they are going public to escape expiries... If so, there would be heavy insider selling, not buying. The public structure will give them an additional currency for acquisition and greater dealmaking flexibility.

Though the A & B share structure is clean, the B's, going to legacy investor partnerships, are entitled to 18% of the pre-IPO royalties per the Org structure. Offsetting this, they don't get the div (so initially a higher A's only yld) but I'm assuming they'll all convert as expiries start hitting, and or if they make some large acquisitions:



Shareholder info: B holders are keeping their shares along with the 18% of pre-IPO royalties, and selling from A holders is quite light (10m of 70m offered, ex greenshoe) with management retaining and planning to increase:

The following table assumes the underwriters' option to purchase additional shares of Class A ordinary shares is not exercised.

Name of Beneficial Owner	Class A Ordinary Shares Beneficially Owned (10/2/20)				Class B Shares Beneficially Owned (10/2/20)				Consolidated Voting Power			
	Number	Percent	Number	Percent	Number	Percent	Number	Percent	Before this Offering	After this Offering	Before this Offering	After this Offering
5% Equity Holders												
Continuing US Investors Partnership	—	—	—	—	217,012,973	88.74%	217,012,973	88.74%	40.53%	36.45%		
Continuing International Investors Partnership	—	—	—	—	27,456,960	11.26%	27,456,960	11.26%	5.14%	4.63%		
Adage Capital Management L.P. (4)	43,015,330	14.79%	—	—	3,355,130	1.37%	3,355,130	1.37%	8.66%	7.79%		
Negra Group SICAF - SIC S.A. (3)	46,316,170	15.93%	—	—	3,612,590	1.48%	3,612,590	1.48%	9.33%	8.39%		
Directors and Named Executive Officers												
Public Legoneta (6)	241,810	*	241,810	*	60,632,920	24.79%	60,632,920	24.79%	11.37%	10.22%		
Terrance Coyne (7)	23,270	*	23,270	*	4,174,270	1.71%	4,174,270	1.71%	*	*		
Christopher Hise (8)	—	—	—	—	—	—	—	—	—	—		
George Lloyd (9)	262,760	*	262,760	*	6,901,250	2.82%	6,901,250	2.82%	1.34%	1.20%		
James Radloff (10)	23,030	*	23,030	*	6,607,800	2.70%	6,607,800	2.70%	1.24%	1.11%		
William Ford (11)	—	—	—	—	28,187,150	11.61%	28,187,150	11.61%	5.30%	4.77%		
Enel De Sousa	—	—	—	—	599,150	*	599,150	*	*	*		
Greg Norden	—	—	—	—	155,940	*	155,940	*	*	*		
St. Germaine Goussier (12)	12,554,660	4.32%	12,554,660	5.18%	728,320	*	728,320	*	2.48%	2.23%		
Rory Rapp (13)	—	—	—	—	15,416,240	6.30%	15,416,240	6.30%	2.88%	2.59%		
All executive officers and directors as a group (ten persons)	13,107,630	4.61%	13,107,630	5.74%	123,643,240	50.62%	123,643,240	50.62%	26.62%	21.96%		
Selling Shareholders												
SIF Investment Company Ltd.	20,129,220	6.92%	627,016	19,502,204	5.56%	1,570,050	*	1,570,050	*	4.05%	3.54%	
Agape Fiduciary GmbH	12,628,790	4.34%	506,731	12,122,059	3.46%	983,030	*	983,030	*	2.54%	2.20%	
Grimes Real Estate Fund LP	97,620	*	61,854	35,766	*	6,224,816	2.59%	6,224,816	2.59%	1.18%	1.02%	
Suannah Grey	1,000,000	*	633,413	366,587	*	4,771,967	1.95%	4,771,967	1.95%	1.08%	*	
CHTE Private Equities, LLC	1,500,000	*	950,120	549,880	*	3,843,520	1.57%	3,843,520	1.57%	*	*	
DVE Investing, Inc.	1,500,000	*	823,437	476,563	*	3,658,013	1.50%	3,658,013	1.50%	*	*	
Canadian Commercial Workers Industry Pension Plan Trust Fund	5,677,230	1.95%	2,907,386	2,769,844	*	442,810	*	442,810	*	1.14%	*	

There are some far above the curve stats at Royalty Pharma. For example, with only 35 people they generate over \$51m of revenue per employee.

Another is their effectiveness in acquisitions of development stage royalties: "From 2012 through the first quarter of 2020, we acquired royalties on development-stage product candidates for a total transaction value of \$6.1 billion of cash. Products underlying \$5.6 billion of these acquisitions have already been approved, leaving us with \$0.2 billion of total cash transaction value associated with products that are still in development."

So, nearly 97% of all the capital deployed to pre-approval situations over 8+ years is now productive. And this augments the \$7B of royalties acquired between 2012 and 2019 on already approved products.

A final snippet is they use conservative estimates when acquiring. They note several sits that have far exceeded their sales estimates, so I'll include this from the filing [underlining is mine]: "Of the 22 therapies in our portfolio that each have 2019 end-market sales of more than \$1 billion, approximately half of those therapies were acquired since the end of 2011. Based on our portfolio as of June 2013, we estimated that we would generate royalty receipts of \$0.3 billion in 2019. However, through successful new royalty acquisitions and outperformance of existing products, we were able to generate royalty receipts of \$2.3 billion and Adjusted Cash Receipts of \$2.1 billion in 2019."

You can find many other interesting bits in their filing, so here is a link to the [S-1](#).

Anyhoo, I like this and am putting in for the offering. As usual, I expect to get cut way back... but I'll hope to grab a position worth in the after-market.

And, a final note from Uncle Sam, that there is some tax funkiness where they use an "Up-C" structure which allows US taxables to pay upon exiting the investment, though divs would be normally taxed along the way.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Catalysts:

Street coverage and index inclusions

Periodic announcements on pipeline and new investments

Collapsing of the Bs into As

Cranking out cash flows and increasing dividends

Risks:

Regulatory changes to pharma pricing and political scapegoating of pharma companies

Approval risks in pipeline, especially on royalties acquired with debt

Interest rate and forex risk

Patent duration and or term of royalties

Messages

Subject Terminal value (lack of) / valuation thoughts
Entry 06/11/2020 07:53 PM
Member Chalkbaggery

Thank you for posting the idea. I have listened to the roadshow presentation and think the team/track record is impressive. However, can you elaborate more on how you think about valuation? I struggle with it given lack of terminal value after existing patents expire. I don't think you can easily throw a 20-25x FCF on this thing as organic growth is 3-4% (per mgmt guidance) and patents have weighted average life of ~15 years. They need to continue to use the FCF generated to acquire new patents to keep the cash flow going after year 15.

I think there are two pieces of value here -- the portfolio in-place (DCF) and the "platform value" (mgmt's ability to create value on new deals)

On portfolio in-place, here is a hypothetical DCF framework -- assuming Year 1 cash flow is 100 for a biz, and it grows 3.5% per year for 15 years (patent life), year 15 cash flow is 162. Let me use a normalized risk free rate of 1.5%, 4.5% equity risk premium, very low beta of 0.5 given this is higher quality than large cap pharma given lack of R&D risk / higher FCF margin, I get to Cost of Equity of 3.75%, this is very very low Cost of Equity.

If I use this Cost of Equity to discount the 15 years of levered cash flow (FCF to the firm) from 100 in Year 1 to 162 in Year 15, I get an NPV of 1,422, which is 14x the 100 year 1 FCF. Again, assuming 0 terminal value, which is the reality for in-place portfolio of patents.

I understand the deal is coming out at ~11x 2021 FCF, so there is upside, and you can get something for platform value (mgmt's deal making ability). If fair value is 14x, feel like we make 30% and then some on an IPO pop / initiations from sellside. Not bad, i'll take it.

But I'd love to see a home-run case, and if you have sound logic to justify 20-25x FCF multiple, then this can be a home-run. Can you explain how you can get comfortable with that range given lack of terminal value? To me this is very diff from consumer staples companies because a CPG co can dividend out all its FCF generation and still have meaningful terminal value, vs. for RPRX the mgmt needs to use meaningful portion of FCF to do new deals / raise equity to do new deals to have "perpetual value", so the FCF generation of any given year isn't shareholders to take home (unless shareholders just want to run off the FCF).

Subject Re: Terminal value (lack of) / valuation thoughts
Entry 06/12/2020 11:02 AM
Member perspicar744
 Chalkbaggery,

Great post, thanks... I feel the lack of terminal value is offset by the structural advantages of the platform including very low cost of equity and debt, above 50% niche market share, as well as very real and very large potential for upside as indications are added and sales estimates revised.

While mgmt did note the 3.5% growth, they have historically grown much faster and have grown at rates of ~40% recently in the "growth" portion of their portfolio which is the pre-approval stuff. And, again and again, there have been returns that dwarfed the forecasts on which their acquisition costs were based.

For example, in 2006 when they bought the Humira royalty, ww sales for 2010 were estimated at \$3.5B, but turned out to be \$6.5B. And it reached peak sales of ~\$20B in 2018. And this isn't a one-off... Tecfidera, acquired in 2012, was expected to do \$1.6B in 2015, but actually did \$3.6B. Imbruvica, was expected to hit \$2.7B, but did \$4.7 in 2018, and is expected to hit \$10B by 2024. Similar story with the cystic fibrosis franchise where 2024 forecasts used to be \$6.5B and are now \$9B.

Growth in indications, both on and off label, drive this trend. [ie Tylenol was created for headaches, but I also use it when my knee hurts]. Because they acquire at an early stage in the product life cycle, they are positioned to participate as drugs find deeper market penetration, and new indications or geographies.

I feel the structurally low cost of capital combined with the upside potential deserves something extra in the multiple. While 20-25x may be optimistic, I'd note that there are a great many weaker companies trading there and above. And, I think they have a comparatively outstanding business model. So, I think it's reasonable that some optimism will flow into their multiple at times when they have similarly happy news to report.

Subject Re: Re: Terminal value (lack of) / valuation thoughts
Entry 06/13/2020 12:21 PM
Member Chalkbaggery

Thank you Perspicar for those insights. It is helpful to understand how much they have outperformed their original underwriting assumptions in the past deals. This is partially a back-the-gun story, and I can definitely see the appeal as people build conviction in the team -- which is presumably the key intangible asset in this business. I hear this deal is 10x subscribed, dayum!

Subject Following their moves
Entry 06/15/2020 01:04 PM
Member perspicar744

Chalkbaggery,

Per your comments on building conviction in the team, an additional strategy, given their track record, could be to own the biotech company equities which they buy along with their royalties. They've made equity investments in:

Biohaven - BHVN

Immunomedics - IMMU

Cytokinetics - CYTK

Epizyme - EPZM

I don't know these companies well, and am not recommending them, but the concept of tracking their purchases ought to be a good indicator of where they think sales are going to increase.

...RPRX is supposed to price tonight.

Subject Launch day
Entry 06/16/2020 12:08 PM
Member perspicar744
Offering expanded to 77.7m shs & priced at top of range, \$28. Allocations cut to nearly invisible... Just opened at \$44, yowza.
New fd share count of As & Bs with expanded greenshoe should be 604m shares. \$26.5B market cap.

Subject Re: Launch day
Entry 06/16/2020 01:21 PM
Member angus309
where would you be a "comfortable" buyer of secondary stock? thank you for the super interesting idea.

Subject Re: Re: Launch day
Entry 06/16/2020 02:36 PM
Member perspicar744
Angus,

Hope you got allocated more than I did... an exercise in frustration, and was hoping for some postmarket at less of a pop.

Comfortable through the mid 30s... beyond that I don't see the point of adding, but I'm happy to hold.

Think they'll earn \$1.1B which is \$1.82 per share on fd As & Bs. 25x p/e and it's \$45.50... but they will report on the A shares only, so eps gets goosed to ~\$3.06/share x 25x = \$76... I can envision sell side out-year targets up there, but beware the 244.5m Bs which are convertible into As.

Subject Acquisition
Entry 07/20/2020 12:46 PM
Member perspicar744
Some news...

- RPRX bought ~43% of an existing royalty on Risdiplam for \$650m. It treats spinal muscular atrophy, a cause of infant mortality (affecting 1 in 11,000 babies).
- The acq is indicative of their strategy. It meets a high value, highly unmet medical need, and the seller, PTC Therapeutics (PTCT), is partially monetizing to fund their own development portfolio. RPRX expects this to be cash receipts and adj cash flow neutral initially, and accretive beyond 2021.
- It's an 8% to 16% tiered royalty on world wide net sales... so at ~43% implies 3.44% to 6.88%. FDA decision date, or PDUFA date, is Aug 24th.

Subject Bond deal
Entry 08/25/2020 12:46 PM
Member perspicar744
Among the reasons to go public was increased access to capital. RPRX just refinanced its \$6B of debt, lowering the avg interest rate to 2.125%. Interest expense will drop from \$251m last year, to \$127.5m for the year ahead. *Being a public co has it's benefits.*

Also, the \$650m they put up in July for the Risdiplam royalty should be a win in time. It received FDA approval this month.

Subject Gilead purchase of Immunomedics - implications for RPRX
Entry 09/16/2020 07:22 AM
Member perspicar744

RPRX owns 4.3m shares of IMMU which Gilead is buying for \$88/sh.

Their cost is \$17.15/sh from the Jan 2018 purchase of the Trodelvy royalty (\$250m split \$175m for the royalty and \$75m for IMMU shares)... so they'll have a \$304m gain.

So, in less than two years, they're already profitable on the \$250m total investment from the stock portion. Plus they have the Trodelvy royalty (4.15% on WW sales up to \$2B, scaling down to 1.75% on sales over \$6B). Trodelvy was approved in April 2020, and treats 'triple-negative' breast cancer.

Subject	Re: Gilead purchase of Immunomedics - implications for RPRX
Entry	09/18/2020 09:11 AM
Member	perspica744

Expansion of indication: Trodelvy

If it can be used for multiple types of cancers, then Gilead isn't paying up so much for IMMU, and RPRX has a royalty that's going to exceed sales targets...

>>Immunomedics announces early-stage clinical results with Trodelvy in brain cancers (\$85.34, 0.00)

- IMMU announced that Trodelvy delivered 150-fold and 40-fold the 50% inhibitory concentration (IC50) of SN-38 for BMBC and rGBM, respectively, and produced partial responses in both cohorts of brain cancer patients.
- At the time of data cutoff, 19 patients (7 BMBC and 12 rGBM) were enrolled into the study. Key clinical data from evaluable patients are summarized in a table in the attached press release. No new safety signals were observed.
- 7 patients on both BMBC and 7 on rGBM achieved tumor response:
 - 2 BMBC and 2 rGBM partial response
 - Ongoing progression-free survival 4 BMBC (161-279 days); 6 rGBM (7-315 days)
 - Residual measurable disease 4 BMBC; 7 rGBM
- Tumor SN-38 concentrations: 4 BMBC; 6 rGBM
- Patients with BMBC or rGBM were enrolled into the single center study (NCT03995706) to receive a single intravenous dose of Trodelvy at 10 mg/kg one day before surgical resection. Tumor and corresponding serum were collected during surgery to measure their levels of SN-38 and its metabolites. Following recovery, patients resumed Trodelvy treatment at 10 mg/kg on days 1 and 8 of 21-day cycles and were assessed for responses by MRI every third cycle using response assessment in neuro-oncology (RANO) criteria.<<

Subject	No proceeds secondary offering
Entry	10/14/2020 10:56 AM
Member	perspica744

3% being sold by pre-ipo holders... On avg, 25% of seller's holdings. Some have been involved for decades. Allows them the jump the lockup by 2 months, in orderly fashion. Nobody in mgmt is selling and the key team has agreed to extended lockup of 5 years on 80% of their holdings (which you don't often see). Mgmt team owns ~21% of the company.

Company still has:

24% Y/Y Growth in net cash receipts

92% ebitda margins

70%+ net income margins

Low cost of capital - 2.125% weighted avg cost of bonds, fixed... 2.5% cheaper than pre-ipo term loans which included rate hedges. Plus revolver in place.

\$1.7B invested in new royalty transactions ytd

The industry R&D investment is ~\$300B per year (\$100B from Govts/Academia; \$200B from BioPharmas). I think its fair to say that they'll continue to capture the best and largest deals.

The business has a legit moat, based on a diverse revenue stream, lower cost of capital with better funding flexibility, deep industry relationships with boards and mgmt teams, and a singular focus on researching biopharma sits.

Subject	Author Exit Recommendation
Entry	06/23/2021 11:58 AM
Member	perspica744

The author has recommended exiting the position

Subject	Re: No proceeds secondary offering
Entry	08/29/2022 03:25 PM
Member	swag95

Can you please elaborate on the moat a bit more? What is preventing someone with a lot of capital from replicating this strategy and just pricing deals to a lower IRR for royalty streams?

Why is their cost of capital so much lower than others would be? Just the diversification of the portfolio?

Do they actually do anything to enhance the attractiveness / growth of the drugs in their portfolio post-acquisition? i.e. are they value added owners or just aggregating a bunch of diverse stable cash flow streams?

What are the benefits to scale here besides diversification? I'm not sure how much I buy the "lower cost of capital" point since in theory if a large sovereign or pension fund that had a ton of capital wanted to price a deal to a very low return (assuming they had conviction on the stability of the earnings) they could...

RPRX is 12x my normalized EPS today after adjusting for maintenance capex and it should grow msd going forwards. Pablo Legorreta has bought around \$20mm in the last two months and they recently announced a \$1bn buyback program.

This name looks very cheap to me at current levels, curious if you have any thoughts?

Subject Re: Re: 10x or 17x P/E?
Entry 07/05/2023 04:43 PM
Member perspicar744
 Thanks Abcd. I agree.

Crestone's model seems a bit punitive on growth relative to history, which overemphasizes capital intensity. Many of these blockbuster drugs receive additional indications and or off-label use.

Subject Re: Re: Re: 10x or 17x P/E?
Entry 07/05/2023 08:39 PM
Member crestone

Hey, Perspicar, just curious how you'd adjust my model. I worked through it with management, and I came away thinking it was a reasonably very rough way to frame maintenance capex.

Abcd- how do you calc maintenance capex?

Overall, just curious to see how you guys work through the numbers differently. I'd be keen to be more positive on valuation

Subject Re: Re: Re: Re: 10x or 17x P/E?
Entry 07/06/2023 05:19 PM
Member perspicar744

Crestone,

I like your model, and it seems a reasonable base (hit) case to underwrite.

But it lacks upside surprises.

Take Trodelvy (there's a deal description in reply #10 of this thread). The model says 2.33x in 13 years. On the \$250m investment that would be \$582.5m. But we're 3 years in and they already have received \$422m+ (\$378m from the 4.3m shares of stock at \$88 buyout, plus ~\$44m from the 4.15% royalty on 2021 sales of \$380m & 2022 sales of \$680m).

Looking ahead Trodelvy consensus sales are expected to be \$2.8B by 2028, as its indication expands from breast cancer to additional types of cancers.

So, I think we end up blowing away the \$582 and end up well over \$1B once this matures.

Granted this example is a home run, but this mgmt team has found quite a few of them. I don't have any great way to model for these extra base hits, beyond the base hit case. But there's definitely some sluggers in this portfolio. Maybe $100 * (1.13^{13}) = 489$, rather than 233, which utilizes full compounding... at least on some portion of the portfolio or those sits that have in the \$ stock/warrants attached.

I also like that this is one of the few companies that truly benefited from going public. Beyond just getting a liquid stock and a public multiple, they refi'd their debt at low fixed rates, which in tern allows great flexibility on deal structure. Plus I like that mgmt has locked up 80% of their stock long term and continues to buy.

Subject Re: Re: Re: Re: Re: 10x or 17x P/E?
Entry 07/27/2023 10:18 PM
Member perspicar744

Evidence of incremental expansion of indication:

[European Commission Approves Gilead's Trodelvy® For Pre-Treated HR+/HER2- Metastatic Breast Cancer | Business Wire](#)

Subject Re: Re: Re: Re: Re: Re: 10x or 17x P/E?
Entry 01/22/2024 01:10 PM
Member Teton0321

This has been a fun idea and thread to read. Any updated thoughts perspicar, crestone, or anyone else? Surprised there hasn't been any discussion of VRTX's new triple combo that could drive a lower royalty rate. Anything else of note - perhaps shareholder turnover? Pablo hasn't been buying, but not sure if that means anything.

I feel like I have sliced this every way and I'm getting somewhere between \$25/sh-\$35/sh of fair value at 7.5%-8.0% cost of capital. I like the 40% capex discussion below. My base valuation is doing a run-off of my best guess of the cash-flow arc of the current portfolio and adding discounted NPVs for future capital deployment at the company's historical 11%/13% unlevered/levered IRRs.

Subject Entry Member

anything else of note? the adstriladin deal. IBRX, who has not secured FDA approval yet, trades for a \$2.5billion valuation and this is after a 90% drop from ATH. if adstiladrin works it could be a game changer for RPRX. we will see over the coming months.

Re: Re: Re: Re: Re: Re: Re: Re: 10x or 17x P/E?

01/22/2024 04:06 PM

churchill

Subject Entry Member

maybe \$100M to royalty receipts by end of decade? not sure that's a game changer.

Re: Re: Re: Re: Re: Re: Re: Re: 10x or 17x P/E?

01/25/2024 06:09 PM

Teton0321

Subject Entry Member

not if adstiladrin can be used to treat other diseases. the technology is actually very powerful, on paper.

Re: Re: Re: Re: Re: Re: Re: Re: 10x or 17x P/E?

01/26/2024 02:21 AM

churchill

Subject Entry Member

RPRX continues to perform quite well and the stock continues to trend lower. It seems to be fully pricing in the lower royalty rate on Vertex Pharma's new triple combination CF drug here. Am I missing anything here?

Anyone Still Following?

08/14/2024 02:32 PM

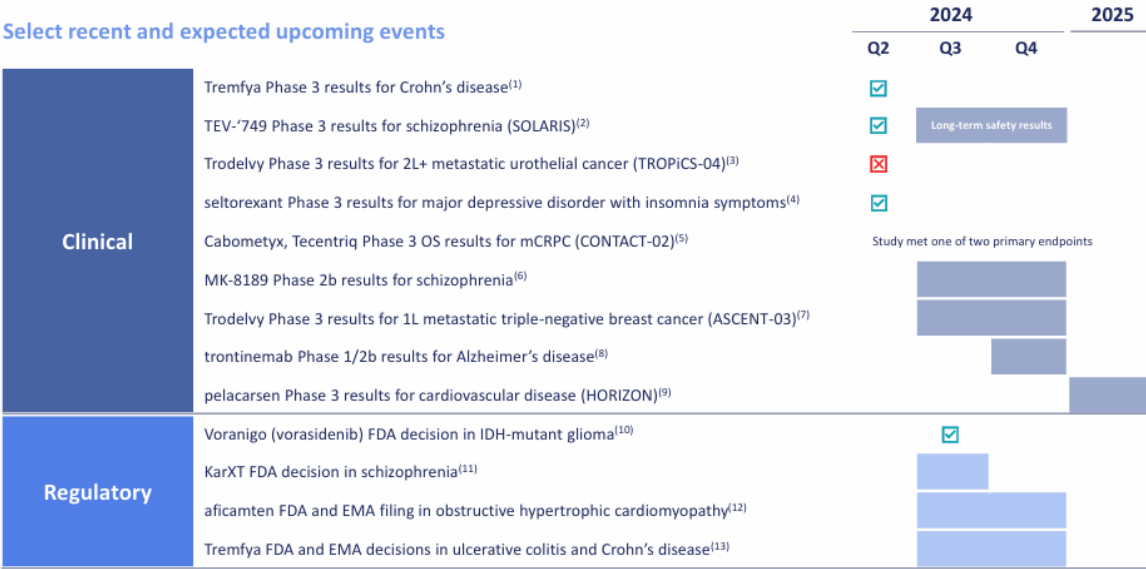
abcd1234

Using Crestone's math, which I believe to be conservative, the stock is 10x cash earnings (EBITDA-Maintenance Capex (40% of EBITDA)-Interest Expense), growing HSD annually, with many upcoming catalysts.

	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
EBITDA	2,026.3	1,620.7	1,944.0	2,566.0	2,806.0	2,651.7	2,782.2	3,016.6	3,314.5	3,615.5	3,979.0	4,326.0
(-) Maintenance Capex	(810.5)	(648.3)	(777.6)	(1,026.4)	(1,122.4)	(1,060.7)	(1,112.9)	(1,206.6)	(1,325.8)	(1,446.2)	(1,591.6)	(1,730.4)
(-) Interest Expense, net	(234.8)	(95.5)	(127.3)	(145.0)	(98.0)	(150.0)	(150.0)	(150.0)	(150.0)	(150.0)	(150.0)	(150.0)
Cash Earnings	980.9	877.0	1,039.1	1,394.6	1,585.6	1,441.0	1,519.3	1,660.0	1,838.7	2,019.3	2,237.4	2,445.6
YoY Growth		-10.6%	18.5%	34.2%	13.7%	-9.1%	5.4%	9.3%	10.8%	9.8%	10.8%	9.3%
Cash Earnings / Share	\$ 1.62	\$ 1.44	\$ 1.71	\$ 2.30	\$ 2.63	\$ 2.43	\$ 2.58	\$ 2.85	\$ 3.19	\$ 3.54	\$ 3.96	\$ 4.37
YoY Growth		-10.6%	18.5%	34.2%	14.5%	-7.8%	6.5%	10.4%	11.9%	10.9%	11.9%	10.4%
DSO	607.1	607.1	607.2	607.2	602.9	594.0	588.1	582.2	576.4	570.6	564.9	559.2
YoY Growth		0.0%	0.0%	0.0%	-0.7%	-1.5%	-1.0%	-1.0%	-1.0%	-1.0%	-1.0%	-1.0%
Cash Earnings Multiple	\$ 26.55	16.43x	18.38x	15.51x	11.56x	10.10x	10.94x	10.28x	9.31x	8.32x	7.50x	6.70x

Multiple important events expected over next 12 months

Select recent and expected upcoming events



ROYALTY PHARMA

OS: overall survival; mCRPC: metastatic castration-resistant prostate cancer; FDA: Food & Drug Administration; IDH: isocitrate dehydrogenase; EMA: European Medicines Agency
1. Johnson & Johnson press release, May 1, 2024. 2. Teva press release, May 8, 2024. 3. Gilead press release, May 30, 2024. 4. Johnson & Johnson press release, May 29, 2024. 5. Exelixis Q2 earnings presentation, August 6, 2024. Exelixis intends to submit U.S. regulatory filing in 2024. 6. www.clinicaltrials.gov. 7. Gilead Q3 earnings presentation, April 25, 2024. 8. Roche H1 2024 results presentation, July 25, 2024. 9. Novartis Q2 earnings presentation, July 18, 2024. 10. Servier press release, August 6, 2024. 11. Bristol Myers Squibb Q2 earnings presentation, July 26, 2024. KarXT PD(L)FA date is September 26, 2024. 12. Cytokinetics Q1 earnings release, May 8, 2024. 13. Johnson & Johnson Q2 earnings call transcript, July 17, 2024.

Subject Entry Member

Re: Anyone Still Following?

08/16/2024 03:22 AM

gocanucks97

I thought the BoA note summarized the bear case well. "Indeed, investing in RPRX shares means trusting the management ability to increasingly secure larger deals while maintaining favorable returns. bigger concern, however, is the 80% shares owned by management post the 2025 lockup period."

At current multiple, why wouldn't buying back equity generate higher IRR than investing in royalty (10% for approved and low-mid teens for pre-approved)?

There is probably a re-rating trade here, but i have some nagging doubt that it is possible to generate alpha when you are already 60-70% of the market...

Subject	Simplification, Alignment, and 9 more years of insider lockup
Entry	01/10/2025 07:46 PM
Member	perspica744

Today RPRX aligned their biz with shareholders, and brought all the intellectual capital of the investment team under the same roof by buying in the external manager. This eliminates the mgmt fee of 6.5% of cash receipts off the top for operating the biz.

Plus they are initiating a major buyback of \$3B.

I think this is both short term and long term bullish, and comes in timely fashion as the initial 5 year unlock coming in June 2025 is now much less concerning, given the new 9 year unlock on the majority of payment in shares.

7:19 AM 10 Jan '25 **RPRX-US Royalty Pharma announces acquisition of its external manager and \$3B share repurchase program (\$26.20, 0.00)**

- The board has agreed to acquire its external manager, RP Management, LLC. This transaction to simplify Royalty Pharma's corporate structure is expected to result in multiple benefits for shareholders.
- On a financial basis, the acquisition is expected to reduce costs and enhance economic returns on investments. Specifically, the acquisition will generate cash savings of greater than \$100M in 2026 and greater than \$175M in 2030, and drive cumulative savings of greater than \$1.6B over ten years.
- Royalty Pharma will acquire the Manager for ~24.5M shares of Royalty Pharma equity that will vest over 5 to 9 years, ~\$100M in cash¹, and the assumption of \$380M of existing Manager debt.
- The total transaction value of ~\$1.1B (based on the closing price of Royalty Pharma plc common stock of \$26.20 on 8-Jan-25), with the majority paid in long-term deferred equity, is expected to be more than offset by cumulative cash savings of greater than \$1.6B over the next ten years. The equity component will represent ~4% of shares outstanding, assuming all shares vest.
- Royalty Pharma plc will continue to be obligated to pay Equity Performance Awards (which are based on long-term investment performance) on existing and future investments on the current terms.
- The closing of the internalization transaction will be subject to shareholders' approval of the issuance of the share consideration and other customary closing conditions, including required regulatory approvals. Members of the board and management of Royalty Pharma who control ~25% of the fully diluted shares of Royalty Pharma have agreed to vote in favor of the transaction.
- The transaction is expected to close during Q2 of 2025.
- **Share repurchase:**
 - The board has also approved a new \$3B share repurchase program as part of the company's evolving approach to returning capital to shareholders.
 - In 2025, the company intends to repurchase \$2B of shares, subject to market conditions.
 - This \$3.0B share repurchase program replaces the unused \$465M of the company's original \$1.0B share repurchase program that was announced in March 2023.
- **Maintaining Guidance for New Royalty Investments, Dividend Policy, and Commitment to Investment Grade Credit Rating**
 - Royalty Pharma will maintain the financial capacity to execute on its previously announced guidance for average annual capital deployment of between \$2.0 and \$2.5B per year. Royalty Pharma also remains committed to growing its dividend by mid-single digit percentages annually and maintaining its investment grade credit rating.

Subject	Completed acquisition of external manager
Entry	05/19/2025 12:53 PM
Member	perspica744

Important milestone reached on the \$1.1B deal announced in January:

- Simplified corporate structure
- Strengthened shareholder alignment & enhanced governance - with 5-9 years of vesting for insiders
- Significant cash savings (no more mgmt fee of 6.5% on incoming cash receipts)
- And increased economic return on investments

Plus, on their \$3B buyback program, they bought back ~\$725m in Q1, materially reducing per share deal dilution.

Their full year guidance update, expected with Q2 earnings, should be a catalyst. Currently 9.5x next year EBITDA (before adding back the 6.5% fee), and it's a company with no tariff issues.